

Hurdles in India's Economic Growth.



Mr. Pawan Kaushik

Are you in favour of single GST rate or multiple GST rates?

It would be much better if the GST would have made simple with single rate and additional Cess on Luxury, Demerit or Sin goods. There would have been absolutely no classification disputes and everyone would have paid the GST on their value addition. For example **GST on Diamond** which is super luxury product was kept 0.25% and on **Cement** which is basic and a necessity to build homes, offices, country infrastructure & factories which creates employment is an astonishing **112 times of Diamond**. Now the GST on diamond has been increased to 1.5% only. If someone argues, it is done for more exports of Diamond, I will say that the GST of exports would either refunded or not charged.

As mentioned by you GST has enhanced integrated manufacturers interest and against Independent maker's interest, do you face any other challenge?

Sure. With inverted GST rates, govt. has killed their own dream of Make in India as till today no refund of ITC allowed which is paid on Capital goods which would have been adjusted if same GST rate would have existed. Let me share our own example. I invested all my hard-earned dollars from Taiwan and set up world class Nylon Filament Yarn manufacturing plant. We imported machinery from Germany of Rs.210 crores, paid import duty on it about Rs.20 crores & paid additional GST @18% which equals to Rs.41.40 crores. This GST Credit is lying in our GST account but I can't adjust because of inverted GST rates. Govt. has no existing provision to refund this though it has been more than 5 years now. The GST on Nylon Chips is 18% on Rs.200/kg ie Rs.36/kg and on Nylon Yarn is 12% on Rs.250/kg ie Rs.30/kg. The GST department will refund Rs.6/kg extra paid but when I will get Rs.41.40 crores which is lying credit in our GST account. If it would have been same rate on Nylon Yarn@18% then I would have got Rs.45/kg from my customer and Rs.9/kg would have been debited in my GST ledger. I am paying interest on 41.40 crores, so no interest to expand or bolster our belief in make in India. This is with everyone whoever having challenge of inverted GST rates.

How about import duties?

It is same situation here as well. Raw materials are having higher import duty

India is full of stories of simple, common men who, against all odds, rose up the economic ladder and achieved innumerable success through sheer hard work. One of the shining example of this phenomenon is Mr. Pawan Kumar Kaushik.

Born in Haryana to a humble farmer, Kaushik's developing years were spent toiling away in the family. The 'work hard, achieve success' bug was ever-present in Kaushik's DNA and when he turned 20, he decided to turn his fortune around by leaving his humble roots in Haryana and arriving in the city of dreams, Mumbai. Showing up in a strange city with no money, no home, and no job is unimaginable but where there is a will, there is definitely a way. And it was his will that gave him the strength to 'make it' in a city that sees more dreams fail than succeed. Just so he could have a roof over his head, Kaushik enrolled in Law College which offered dorms to its students.

Eventually, his fate brought him to the import-export industry when he secured his first job at a small export company. Starting as an accountant, Kaushik outshone his colleagues by working diligently and honestly. Because he had impressed his seniors, he kept on getting new assignments and learns all the procedural aspect of business. Later on Mr. Kaushik moved to Taiwan and within 2 years reached to a turnover of USD 5 million and today PNP Polymers Pvt Ltd became the second largest maker of Nylon Filament Yarn in India.

Business Today had an opportunity to interact with this revolutionary entrepreneur where in a very frank conversation; he laid down his opinions on the current India's business scenario.

Is the GST reform good or bad for economy?

GST is good tax reform but its rates are irrational. Inverted GST rates favour integrated plants & against independent manufacturer's interest. Say Fabric GST 5% and MMF Yarn was 18% means if an independent Knitter buys MMF Yarn at Rs.100/kg + Rs.18 GST @18% + Value addition of Rs.20/kg with no refund of ITC made his cost Rs.138/kg. Whereas integrated MMF Yarn & Fabric maker cost will be Rs.100/kgs + Value Addition of Rs.20/kg + GST of 5% on Rs.120.00 ie Rs.6/kgs means total cost Rs.126/kg. Now in this situation, who do you think will prosper and who will face the brunt of losses?